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Picking Up Steam

Criticised for electricity woes last summer, the power ministry left nothing to chance this year

By Anilesh S. Mahajan

POWER MINISTER R.K. Singh can breathe easy this summer with the weather gods showing some mercy. But things weren't so breezy last year, when demand surged in the extraordinarily hot March and touched 128.47 billion units (BU). It ended up putting to test the entire energy chain, with Singh coming in for criticism for not being able to predict the demand surging on the back of an early summer and an economy recovering after Covid-19. The effects were far-reaching, with several parts of the country facing load shedding for 12 to 16 hours.

Learning from that experience, the power ministry pulled up its socks this year. Estimating peak power demand in the country to touch 230 GW this summer, the ministry instructed power utilities to undertake maintenance for coal-based power plants well in advance to avoid disruptions during the peak summer months of April and May. It also told all imported coal-based plants that they would have to run at full capacity from March 16 to June 15. Additionally, all thermal plants were asked to stock their piles in a timely manner. As a result, of the 165 domestic coal-based thermal power plants in the country, only 28 had critical stocks as on May 25, against about 90 the same time last year (coal stocks are said to be at a critical level when power plants have less than 25 per cent of what would be needed for 26 days of production).

However, key reforms remain in limbo and must be fast-tracked. Though Singh managed to get Parliament's nod on the Energy Conservation (Amendment) Act last year—paving the way for use of non-fossil sources, establishing carbon markets in the country, and bringing large residential buildings within the ambit of the energy conservation regime—he has made little headway with states and labour unions in reaching a consensus on amendments to the Electricity Act, 2003. A bill was tabled in August last year, only to be referred to a standing committee again. The proposed amendments will enhance healthy competition at the distribution level and allow states to have multiple distribution companies (discoms). They also seek to relook the composition of state regulators and the appointment of regulators. Coupled with changes being considered in the National Tariff Policy, such as release of subsidies and direct benefit transfers, the reform will hopefully push states to further discipline the power sector and cut down their losses. ■

BOLD & BRAVE

- Only 28 of 165 coal-based thermal plants were on critical stocks this May, against 90-odd last year

BUT...

- ₹6.2 LAKH CRORE Discom debt in FY22
- 24%
- ₹5.02 LAKH CRORE Debt in FY20